

Table 64.4 Breakout and Post-Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	63% up	37% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 36%, M 42%, H 46%	L –15%, M –14%, H –10%
Median breakout distance to apex	64%	64%
Throwbacks/pullbacks occurrence	64%	63%
Average time to throwback/pullback peaks	6% in 6 days	–4% in 6 days
Average time to throwback/pullback ends	12 days	12 days
Average rise/decline for patterns with throwbacks/pullbacks	38%	–11%
Average rise/decline for patterns without throwbacks/pullbacks	51%	–17%
Percentage price resumes trend	69%	45%
Performance with breakout day gap	41%	–14%
Performance without breakout day gap	43%	–13%
Average gap size	\$0.33	\$0.49

Downward breakouts provide evidence that you should short stocks making new lows rather than those making new highs.

Apex distance. I compared the time to the breakout with the length of the triangle from the start to the apex. The median breakout distance is 64% of the way to the apex.

Throwbacks and pullbacks. Throwbacks and pullbacks occur almost two-thirds of the time and take 12 days for the stock to return to the breakout price. When a throwback or pullback happens, performance suffers and quite dramatically, too.

After a throwback or pullback completes, the table shows that both upward and downward breakouts see price rise most often (69% for upward